CapVisor Associates, LLC

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Covered Call Writing...

A prudent equity strategy for insurers to consider

First of all, yes, covered calls are “options’ which in turn are “derivatives”. While most derivatives remain a dirty word for insurers and are not permissible according to their investment policy statement, covered calls are different. Most insurers rightfully disallow any derivative transactions, those securities that derive their value from some other underlying security. It is this structure that often makes it difficult to assess the true risk of the securities and thus something insurers should generally avoid.

Covered Calls are different in that the insurer participating in a covered call writing program already owns the underlying security from which the option derives its value. The derivative is “covered” making the risk understandable, predictable and significantly lower than the risk level affiliated with most derivative securities. In fact, the call option actually mitigates the downside risk of the underlying stock! The call option written against a

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1Q20 Insurance Portfolio Review and Outlook: A True Black Swan

- Equity markets ran to all-time highs in mid-February before succumbing to COVID-19 fear and plunging 30% to 37% by March 23rd before recovering substantially by mid-April.
- A rated corporate spreads reached 51 bps (2 bps from all-time low) and BBB corporate spreads reached 86 bps (5 bps from all-time low) before blowing out to 300 bps and 472 bps on March 23rd and recovering to the 135 bps and 265 bps area in mid-April.
- VIX started the year at 13.78 and reached an all-time high of 82.69 on March 16th before receding to the 40 area in mid-April. When VIX went above 60 the correlation between all asset classes approached 1 and everything sold off in unison.
- Prior to the February sell off, corporate and other asset class credit spreads were almost priced for perfection, but they were the only game in town. However, current levels now create the opportunity to add value through superior security selection, especially when purchasing new issues.

What happened?

According to Investopedia, “A black swan is an unpredictable event that is beyond what is normally expected of a situation and has potentially severe consequences. Black swan events are characterized by their extreme rarity, their severe impact, and the widespread insistence they were obvious in hindsight.”

I was curious whether we mentioned COVID-19 in the previous quarterly outlook piece. There was nary a word. The commentary and reports were emailed on January 17. The COVID-19 timeline progressed as follows:

- January 21 - First U.S. case reported.
- January 30 - World Health Organization (WHO) declares a global health emergency.
- January 31 - President Trump banned travelers who had been in China during the prior 14 days; VIX closes at 18.84.
- February 19 - S&P 500, DJIA and NASDAQ are at or near all-time highs; VIX closes at 14.38
- February 24 - cases spike in Italy and they report their sixth death. The DJIA drops 1,031.61 points; VIX closes at 25.03.
- February 29 – President Trump announces travel restrictions on Iran, Italy and South Korea; VIX closes at 40.11 on Friday the 28th.
- March 9 – Ireland cancels St. Patrick’s Day festivities and Oil drops $10 (25%) largest percentage drop ever in reaction to failed OPEC+ meeting.
- March 11 – WHO declares global pandemic, NBA suspends season.

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1Q20 Insurance Portfolio Review and Outlook: A True Black Swan

John SAF, CFA
Vice President, Co-Portfolio Manager
John Saf contributes 25 years of investment industry experience. Prior to joining Calamos in 2017, he served as a managing director and portfolio manager at Oppenheimer Investment Management (2006-2017). In this role, he was responsible for nearly $1 billion in assets, including insurance portfolios. From 1995-2006, John served at 40|86 Advisors (formerly Conseco Capital Management), where he held a variety of positions, including fixed income portfolio manager, where he co-managed more than $25 billion in insurance portfolios and had responsible for asset allocation decisions. He also served as a credit research analyst and as Director of Asset Liability Management. Earlier in his career, he worked at American Life and Casualty and at Ernst and Young. He holds a BSBA from Drake University, with a joint major in actuarial science and accounting. In addition to being a CFA charterholder and Certified Public Accountant (inactive), John is a Fellow in the Life Management Institute.

- March 12 – MLB and NHL suspend seasons. NCAA cancels March Madness tournaments. The DJIA completes 20% drop in 20 trading days, the fastest slide into bear market in history; VIX closes at 75.47
- March 13 – President Trump requests cruise lines to suspend outbound trips. States begin to close schools.
- March 14 – English Premier League suspends season; Melbourne F1 Grand Prix, the PGA Tour's championship and Boston Marathon are postponed.
- March 15 – Trump extends Europe travel ban to UK and Ireland; 29 additional states close schools; CDC recommends limiting meetings to 50 people or less.
- **March 16 -** Canada closes border to noncitizens; President Trump advises Americans to avoid gatherings of 10 or more and discretionary travel for the the next 15 days; **DJIA drops 12.9% (2997 points), S&P 500 & NASDAQ drop 12%; VIX hits all-time high of 82.69.**
- March 17 – European Union announces 30-day travel ban; West Virginia becomes the last state to announce a confirmed case.
- March 18 – President Trump signs Families First Coronavirus Response Act into law to provide emergency medical funding, food assistance and unemployment benefits.
- March 19 - California becomes the first state to issue "stay-at-home" order
- March 20 – U.S. closes border with Mexico to all "nonessential travel"
- **March 23 –** Major market equity indices plunge again after an emergency fiscal stimulus bill is twice rejected by the Senate reaching low point of downturn **(S&P 500 down 34%, DJIA down 37% & NASDAQ down 30%)** All fixed income credit spreads reach peak of current downturn. The FED announces unlimited QE and multiple other new programs to support market liquidity.
- March 24 – Japan postpones 2020 Summer Olympics to 2021; DJIA surges more than 2,000 points for largest point gain ever on news that $2 trillion stimulus bill was close to approval by Senate.
- March 28 – U.S. FDA authorizes emergency use of Abbot Labs Covid-19 rapid test with 15 minute results
- March 29 – President Trump extends social distancing guidelines until April 30.

Source: https://www.nbcnews.com/health/health-news/coronavirus-timeline-tracking-critical-moments-covid-19-n1154341

The U.S. Leading Economic Indicators (LEI) were positive through February, but are expected to be down about 7% for March. This measure has gone negative for several months before every U.S. recession since 1970. This indicator will miss the start of the current recession, which is further evidence that the COVID-19 downturn was driven by extraneous, non-

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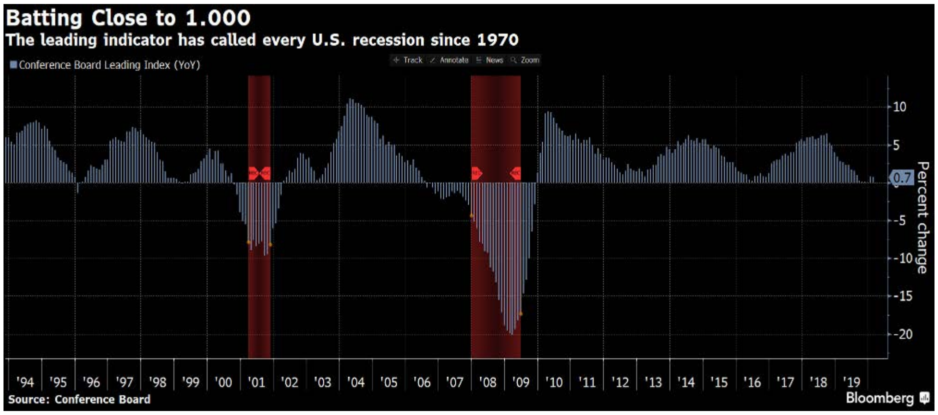
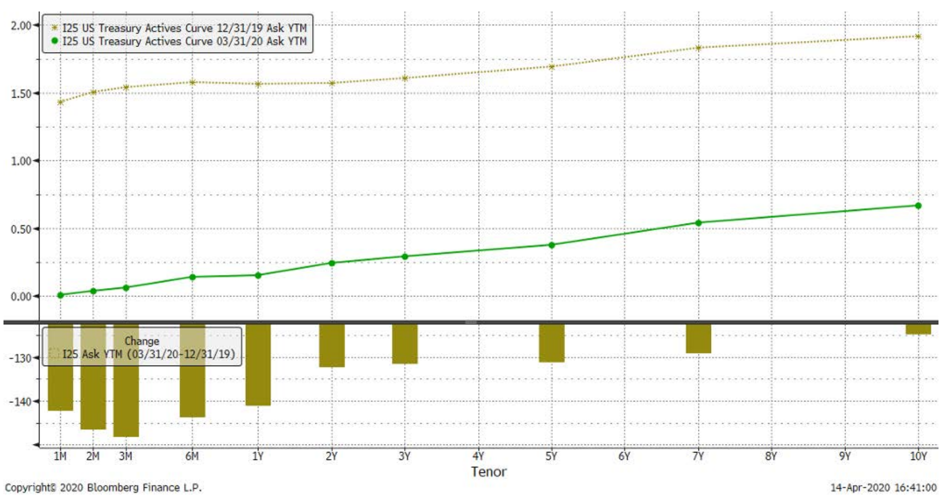


TREASURY YIELD CURVE MOVEMENT DURING THE QUARTER



economic factors consistent with a true black swan.

The treasury curve dropped in almost parallel fashion by approximately 125 bps to 145 bps between 1 and 10-year maturities. The Fed Funds rate was dropped to zero and will likely remain there for the foreseeable future.

1Q20 Performance

After four consecutive quarters of outperformance and 454 bps of excess return in 2019, Corporate securities were the worst performing sector in the Bloomberg Barclays Intermediate U.S. Aggregate Index during 1Q20 by far. Intermediate Corporates produced -892 bps of excess returns, followed by Intermediate Government Agencies, Securitized (MBS, ABS and CMBS), and Treasuries, with quarterly excess returns of -267 bps, -124 bps and zero over duration-matched treasuries, respectively. The yield-to-worst of the Bloomberg Barclays Intermediate U.S. Aggregate Index dropped from 2.14% to 1.33%.

The Bloomberg Barclays Tax-Exempt Municipal 1-10 Year Blend Index's 1Q20 total return of -56 bps (approximately -53 bps after tax gross-up) underperformed the Bloomberg Barclays Intermediate U.S. Aggregate Index's total return of 249 bps and had a 0.61 year longer duration. The Bloomberg Barclays Municipal Intermediate Taxable Bonds Index had a total return of 76 bps during the quarter and a 1.26 year longer duration. We continued to swap tax-exempt municipal bonds into taxable munis when the swap was favorable.

What did we learn?

One of the axioms of investing is that you can structure your portfolio to maximize your performance in two of the three market states – up, flat or down, but not all three. Since the equity and credit markets are up or flat 95% to 99% of the time and the Federal Reserve Bank ("FED") always steps in to save everybody when the market collapses, **it makes sense to position for up and flat markets,** but not to overextend so far that you suffer deep losses when markets fall. That is our strategy.

We have been complaining for some time that credit spreads and all-in yields were near all-time lows and were not enough to compensate for the known and unknown risks of getting our principal back. The FED's purchase of risk-free assets and other actions to create excess market liquidity drove investors into riskier assets to earn decent returns. Foreign central banks went even farther than the FED, driving sovereign (and some corporate) yields negative, which created even more demand for U.S. dollar-denominated fixed income. To outperform in "up and flat" market environments, we had to invest in riskier assets like corporate bonds and lower rated issuers. To offset these risks we diversified as much as possible through smaller position sizes for riskier issuers and shorter

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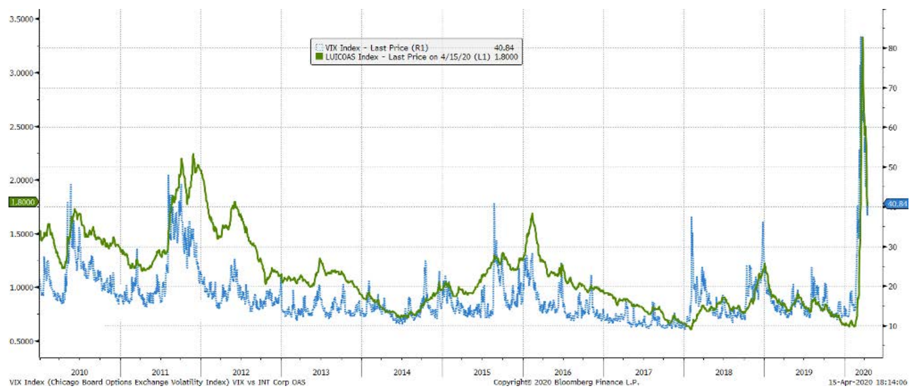
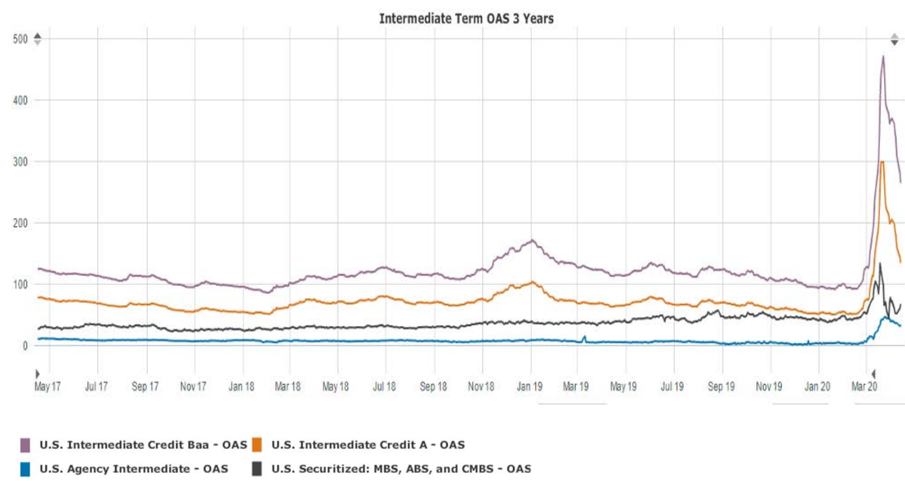
VIX (BLUE) & INTERMEDIATE MATURITY INVESTMENT GRADE OAS (GREEN)



3 YEAR HISTORY OF OPTION-ADJUSTED SPREADS (OAS)



Past performance is no guarantee of future results. Source: Barclays Live - Chart.

maturities for most BBBs. We tried to only hold bonds from companies with strong balance sheets, good liquidity and a debt maturity profile that would increase the likelihood they survived the next recession. Our plan was to closely watch for economic-driven downturns and start taking risk out of the portfolio when we saw increasing signs of an impending economic recession.

Our strategy, in fact most investor's strategies, are susceptible to black swans like COVID-19 and other low probability, high severity risks that seemingly come out of left field. We were watching the coronavirus developments closely, in fact we reduced our China exposure and teed-up energy (Occidental Petroleum), cruise ship (Silver Seas) and a leisure property REIT (SVC) securities to sell, but the bids were sparse and 2 to 5% below were they were marked. Other market participants had similar concerns and would only risk buying our securities if they had a big cushion of safety. In retrospect, we should have sold these bonds and others at whatever bids we could get.

The biggest impediment to selling was the nature of the markets before the collapse. In early February, it was inconceivable that 90%+ of our country would be shut-down with "stay-at-home" orders by the end of March and that all 50 states would be under a major disaster declaration for the first time in history. The equity and fixed income markets marched to all-time highs while the coronavirus story was on the front page. The sky was as sunny and clear. Markets didn't care, until they did. Then they dropped like a stone. **If we sold enough of our portfolio to make a difference (say 5%) down 3% to 10% from peak prices and Covid-19 turned out to be a non-event, we couldn't have bought back our positions fast enough and would have given up 15 to 50 bps of performance. In the yield environment we were in before the drop, it might take up to several years to recover the underperformance.** On February 28th the VIX index (VIX) reached 40, but the previous 5 times VIX spiked over 40 since the 2009 Great Recession it dropped quickly and investment grade Option-Adjusted Spreads (OAS) followed soon thereafter due to FED intervention. VIX was stable the first week of March, but it jumped to the mid-50s on March 9th after the oil price collapse, asset class correlations went to 1 and there were very few decent bids for anything after that.

Throughout this event we revisited our investing thesis for the securities potentially at-risk in our portfolios with the analysts covering those sectors. **We decided to trust our research and investment process and hold for better relative value with the understanding that our bonds would likely survive the downturn.**

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What do we do now?

It appears the worst is over, at least for fixed income. Much of the market collapse through March 23rd was driven by mutual fund and ETF redemptions, margin calls and forced deleveraging. It was also driven by fear of the unknown. While we still don't know how long it will take to get back to normal, we do know:

- It appears that the stay-at-home orders are effectively bending the curve for both new COVID-19 hospitalizations and deaths. Fears of overrunning hospitals and running out of ventilators appear to have been misplaced. While we won't be able to completely eliminate the virus by the end of April, we should be able to greatly reduce new cases and have adequate hospital and ICU bed capacity, especially since flu patients no longer take up hospital capacity as cases decrease quickly due to warmer weather and social distancing. We are also developing better treatment protocols and identifying which drugs, existing and experimental, work best at which stages of treatment. This will help patients recover faster and reduce mortality. The goal has become to treat patients before they progress to needing a ventilator where one one-third survive at best. The population of recovered patients is building herd immunity and making convalescent serum a viable treatment. Early experience shows convalescent plasma to be 100% effective therapy for late stage COVID patients on ventilators. Deaths through August 4th may come in under 50,000 compared to estimates of 100,000 to 240,000 three weeks ago and 1 million to 2.4 million in late January.
- We cannot keep our economy closed for 12 to 18 months until we develop and produce enough vaccine to treat the 330 million American population. 2Q GDP is expected to fall somewhere between 10% and 40% and unemployment is expected to spike from an all-time low of 3.5% to as high as 30%. We don't know the exact shape and duration of the downturn, but we do know we will turn a short recession into a depression if we don't start reopening the country in a thoughtful, measured manner. We currently expect a partial return toward normal this summer, followed by another bout of COVID cases next fall and winter that requires a step back, then progressing toward 90% of normal by the summer of 2021. We expect the new normal to include some form of social distancing (reduced capacity), mask wearing, temperature checks and enhanced sanitary practices for a long time.

> **"...Federal Reserve Bank ("FED") always steps in to save everybody when the market collapses, it makes sense to position for up and flat markets, but not to overextend so far that you suffer deep losses when markets fall."**

- Equity prices may retest the lows as shockingly bad economic numbers and earnings guidance start to paint a picture of how bad the 2Q downturn will be.

Credit spreads may go wider, but are unlikely to revisit the wides due to the FED's all-out market liquidity and support programs:

  - The FED is employing unlimited Quantitative Easing (QE) by buying treasuries, Agency mortgages and Agency CMBS.
  - On April 9, the FED announced the terms for The Primary Market Corporate Credit Facility (PMCCF) and The Secondary Market Corporate Credit Facility (SMCCF) to purchase corporate bonds (and ETFs) issued by U.S. corporations with significant operations and a majority of employees based in the U.S.; maturities of 5 years or less; rated at least (Baa3/ BBB-) by two NRSROs as of March 22, 2020; excluding banks.
  - They also relaunched the Term Asset-Backed Securities Loan Facility (TALF) to purchase Aaa rated ABS and CMBS issued by U.S. companies with significant operations and a majority of employees based in the U.S.

Somebody noted the Treasury, FED and Congress acted so quickly this time that it feels like we got desert before taking our medicine. While I agree with that statement, there is no doubt that they are on the job with a whatever-it-takes attitude to save the economy. □

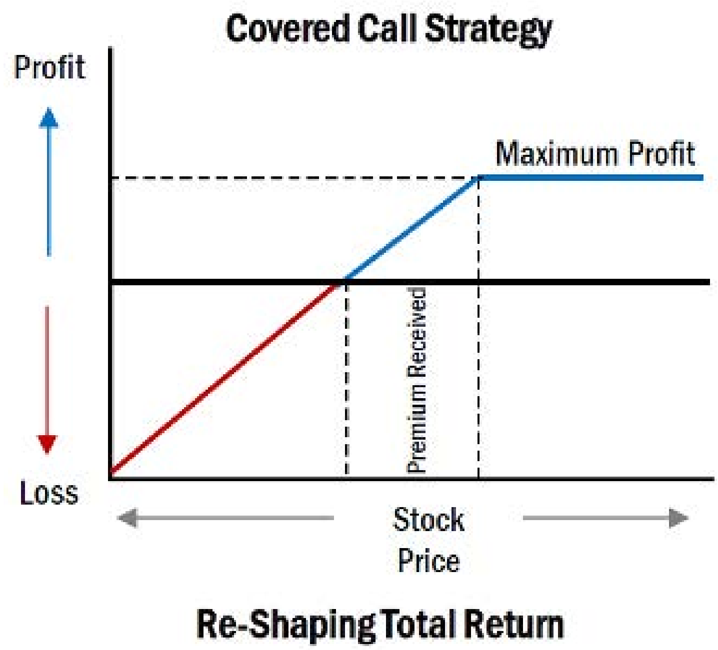
Covered Call Writing...

A prudent equity strategy for insurers to consider

Stefan ten Brink, Managing Director
Mr. ten Brink joined the Firm in January 2011 from Petercam Asset Management in Amsterdam. He has 22 years of investment advisory experience, having co-managed the Ahold Pension Fund prior to joining Petercam. He has 18+ years experience with the HOLT framework.

Mr. ten Brink holds a degree in Logistics & Economics from Arnhem Business School and an MBA from Nijmegen University. Stefan is a Certified European Financial Analyst (CEFA).

Van Hulzen Asset Management
www.vaminstitutional.com



stock position has two effects on the potential return of that security. First, writing the call option generates current income potentially increasing the overall return on that security. However, if the stock's market value increases enough that the owner of the call option exercises the call, the security is called away - comes out of the insurer's holdings at the pre-determined strike price of the call option. This may limit the stock's appreciation or additional potential upside market value gain the insurer might have experienced.

The overall effect of such a program, is to dampen a stock's overall volatility. To look at it another way, a covered call writing program puts a collar around the upside and downside returns of the portfolio as compared to a typical total return equity strategy. When market values go down, the income collected from the selling of call options (premiums) offsets that market value loss. When market values go up, the insurer may not participate fully in that upside due the stock being called away.

In anticipation of stock market volatility, up/down capture ratios become very important factors is assessing the risk inherent in any equity strategy.

What is Upside & Downside Capture ?

These Modern Portfolio Theory (MPT) statistics represent how much a strategy participates in up and down markets, relative to the index (S&P 500), and importantly, can be compared across a peer group.

Keys To Downside Protection

We believe that protecting capital during declines is a powerful driver of long-term outperformance. A superior call writing strategy has three primary sources of downside protection:

1. Stock selection process. First and foremost, purchasing quality stocks must be the primary focus. The companies with higher Cash Flow ROI than the overall market, pay a higher dividend, and hold less debt should be carefully selected based upon a strong research capability. These companies also tend to be industry leaders with slightly higher than average sales growth.

2. Portfolio construction. Perhaps unlike typical stock portfolio construction, a covered call writing program requires a focus on upside & downside potential of each stock in the portfolio. Similar to the upside/ downside capture ratio described above for analyzing overall portfolio behavior and risk, portfolio managers must calculate upside target prices for each holding (based on fundamental valuation) as well as downside price levels (based on a combination of

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fundamental and technical analysis). It is the ratio of these two readings (upside/downside) that determines which holdings have the largest weights in the portfolio.

3. Actively managed options. The passive covered call benchmark (ticker BXM) holds the entire S&P 500 and systematically rolls the one-month call option contract based on a pre-set strike price methodology. This systematic rule can cause BXM to be exposed to index price movements ranging from 1% to 99% (of index risk) on any given day. In contrast, a call writing program should have a dynamic process that allows the portfolio manager to customize the strike prices and duration of each contract based on the implied volatility of the options and their fundamental upside targets. The options can then be actively managed to maintain a range of net exposure to daily price movements, typically between 50% and 70% net long.

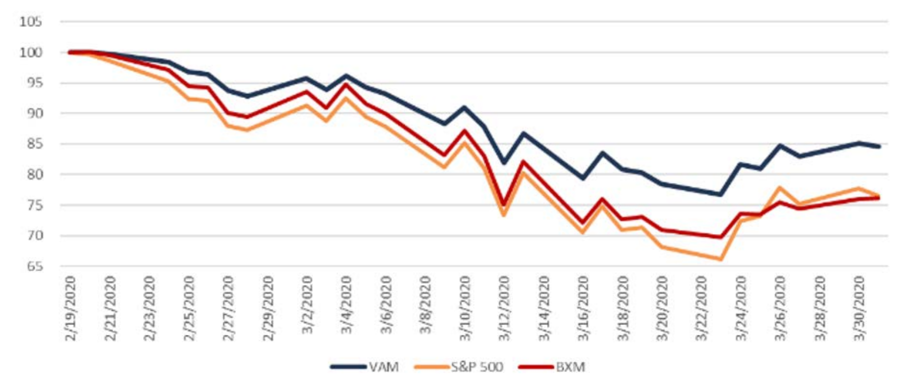
Delivering on Expectations

During the 1st quarter ending March 31 2020, clients participating in a covered call writing program (VAM) were spared about one third of the market losses since the Feb 19 peak. See the relative performance chart and table to the right.

Readers will no doubt ask if there is still a benefit in implementing a covered call writing program now that the market crash is behind us. This defensively oriented equity strategy is always valuable, particularly for conservative institutional investors such as insurers for a few reasons:

1.While the strategy may tend to trail the S&P 500 in a strong bull cycle, the time to recover from market downside losses is significantly shorter.

2.This strategy can help to stabilize an insurer's surplus, the investment program component dedicated to risk assets.



	VAM	SPX	BXM
Return	-15.4%	-23.5%	-23.9%
Std Dev	66.2%	97.6%	87.5%
Rel Risk	68%	100%	90%

Key: VAM is an actively managed covered call writing program
SPX is the S&P 500 Index
BXM is the covered call writing index also known as the CBOE S&P 500 Buy/Write index
Std Dev. is the standard deviation or a measurement of volatility of the subject time period
Rel Risk is the relative risk of the return stream vs the S&P 500 index

3. Expected returns are generally with in a narrower, more predictable range than for total return stock strategies.

4. Most importantly, over longer time periods, covered call programs tend to provide superior risk-adjusted returns.

The graph on page 8 shows asset class performance of several asset classes over the last 10-year period. It includes High Quality Bonds (BB Aggregate), US High Yield Bonds (ICE BofA HY Index), the index for global stocks (MSCI AC) and the Covered Call index (CBOE Buy/Write or BXM) compared to an actively managed call writing program The first observation is that the actively managed call writing program significantly outperformed, on a risk-adjusted basis, all of the asset classes as well as its index. While the return profile is about the same as the

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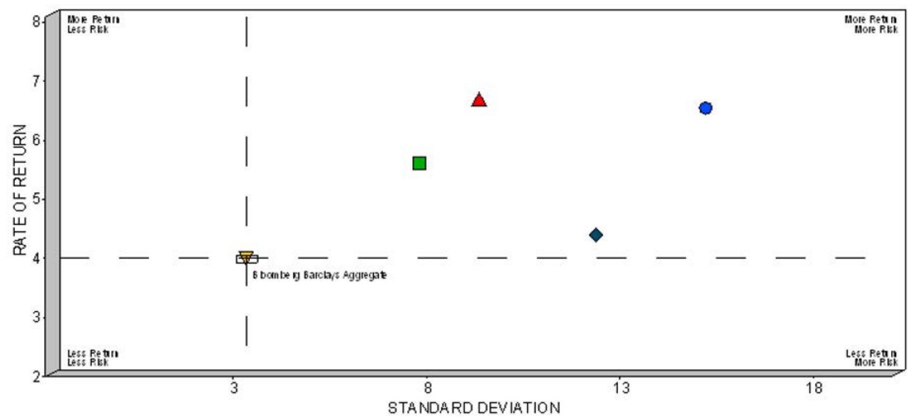
2010-19: Reflecting on the "Teen Years"

Global Stock index, the actively managed call writing strategy generates those returns with significantly less risk. Secondly, one can see that the risk-reward trade-off for actively managed Covered Calls is clearly superior to that of the passive index US High Yield (ICE BofA HY Index). Furthermore, the risk/reward tradeoff is also superior to more commonly held asset classes in insurance portfolios such as investment grade bonds (BB Aggregate) and all cap world stocks (MSCI AC). This is evident in the fact that over the most recent ten-year period, a steeper sloping risk/reward tradeoff line (blue arrow) indicates that more return is earned per unit of risk taken, meaning a better risk-adjusted return than all other asset classes using the Bloomberg Barclays Aggregate as the basis. ☐

MARCH 31, 2010 TO MARCH 31, 2020



	ROR	Std Dev Pop	Alpha	Beta	R-Squared
Sample Covered Call Manager	6.59	9.17	9.37	-0.85	0.08
MSCI AC World Index Free Gross	6.45	15.03	12.41	-1.52	0.10
ICE BofAML US HY Master II	5.50	7.61	5.77	-0.17	0.00
Bloomberg Barclays Aggregate	3.88	3.15	0.00	1.00	1.00
CBOE BuyWrite	4.28	12.22	8.68	-1.22	0.10

Source: Informa PSN Enterprise

CapVisor Associates, LLC
P.O. Box 1084 Gainesville, GA 30503
(973) 665-6370

Email us at:

info@capvisorassociates.com